



RV College of Engineering
Mysore Road, RV Vidyaniketan Post,
Bengaluru - 560059, Karnataka, India

23A126

DEPARTMENT OF
INDUSTRIAL ENGINEERING & MANAGEMENT

Date : 12.01.2026	Improvement CIE	Max. Marks : 10 + 50
Semester : V	UG	Duration : 30 + 90 Min
Course Title: Principles of Management and Economics		Course Code : HS251TA

Note:

1. Answer all the Questions.

SL No	Questions	M	BT	CO
Part – A				
1	What is a need in the motivation process?	2	2	3
2	State Maslow's hierarchy of needs.	2	1	3
3	Mention any two characteristics of leadership.	2	1	3
4	What is time management?	2	2	2
5	Mention any two stress management techniques.	2	1	2
Part – B				
1	During an economic slowdown, the central bank reduced interest rates and injected liquidity into the banking system to revive economic activity. a) Explain the role of money and banks in economic recovery. b) Describe how commercial banks influence the money supply.	10	3	4
2	What are the different classifications of unemployment? With a neat diagram explain how it is related to GDP?	10	3	4
3	Explain Keynesian model of Macroeconomics and how it is different from classic model in macroeconomics.	10	2	4
4	Explain Abraham's Maslow's theory of human motivation with hierarchy diagram.	10	2	3
5	What is transactional and transformational leadership? Explain the futures of each type of leadership.	10	3	3

CIE 3: Management and Economics - Detailed Quiz Solutions & Study Notes

Date: 12.1.26 **Section:** Part - A (Detailed Explanations)

This document provides comprehensive answers to the quiz questions, expanding on the concepts to help with revision for Management and Economics.

1. What is a need in the motivation process?

Answer: In the context of the motivation process, a **need** is the starting point of motivation. It is an internal state that makes certain outcomes appear attractive.

- **Definition:** A need is a physiological or psychological deficiency or lack that a person feels. It creates a state of tension or imbalance within the individual.
- **Role in the Motivation Cycle:**
 1. **Need Deficiency:** The process starts when a person feels a lack (e.g., hunger, need for recognition).
 2. **Drive/Tension:** This lack creates tension or a "drive" to fulfill the need.
 3. **Action:** The person engages in goal-directed behavior to relieve the tension.
 4. **Satisfaction:** Once the goal is achieved, the need is satisfied, and the tension is reduced.
- **Types of Needs:**
 - **Primary Needs (Physiological):** Basic requirements for survival (food, water, shelter).
 - **Secondary Needs (Psychological):** Needs of the mind and spirit (achievement, affiliation, power, status).

2. State Maslow's Hierarchy of Needs.

Answer: Abraham Maslow proposed that human needs are arranged in a hierarchy of importance. An individual moves up the hierarchy only when the lower-level needs are reasonably satisfied.

The 5 Levels of Needs (from lowest to highest):

1. **Physiological Needs:**
 - These are the basic biological necessities for survival.
 - *Examples:* Food, water, air, shelter, sleep, clothing.
 - *Organizational Context:* Basic salary, comfortable working conditions.
2. **Safety (Security) Needs:**
 - The need for protection from physical and emotional harm, as well as stability.

- *Examples:* Job security, insurance, safe work environment, pension plans, freedom from fear.

3. **Social (Belongingness/Love) Needs:**

- The need for affection, belonging, acceptance, and friendship. Humans are social animals and seek companionship.
- *Examples:* Friendly coworkers, supportive supervision, team interactions, sense of community.

4. **Esteem Needs:**

- These relate to self-respect and respect from others.
- **Internal Esteem:** Self-confidence, autonomy, and achievement.
- **External Esteem:** Status, recognition, attention, and appreciation from others.
- *Organizational Context:* Job titles, awards, promotions, recognition of work.

5. **Self-Actualization Needs:**

- The highest level of need; the drive to become what one is capable of becoming. It is about reaching one's full potential and self-fulfillment.
- *Examples:* Personal growth, creative work, solving complex problems, realizing one's dreams.

3. **Mention any two characteristics of leadership.**

Answer: Leadership is the process of influencing the behavior of others to work willingly and enthusiastically for achieving predetermined goals.

Key Characteristics (Select any two for the exam, but here are detailed explanations of several):

1. **Interpersonal Process:**

- Leadership involves a relationship between two or more people (the leader and the followers). It is a social process requiring interaction and communication.

2. **Influence:**

- It is the ability to influence the behavior, attitude, and beliefs of others. A leader motivates followers to do things they might not otherwise do.

3. **Common Goal:**

- Leadership is exercised to achieve common organizational or group goals. The leader aligns individual goals with group objectives.

4. **Situational:**

- There is no single "best" style of leadership. Effective leadership depends on the situation, the task, and the nature of the followers. A style that works in a crisis may not work in a creative workshop.

5. **Continuous Process:**

- Leadership is not a one-time act. It is an ongoing, dynamic process of guiding and motivating the team continuously.

4. What is time management?

Answer: Time management is the strategy of planning and exercising conscious control over the amount of time spent on specific activities to increase effectiveness, efficiency, and productivity.

- **Core Concept:** It is not about "managing time" (which is constant) but managing *yourself* and your *activities* within the available time.
- **Key Elements:**
 - **Prioritization:** Distinguishing between what is urgent (requires immediate attention) and what is important (contributes to long-term goals).
 - **Scheduling:** Allocating specific time blocks for specific tasks.
 - **Goal Setting:** Knowing exactly what needs to be achieved helps in allocating time correctly.
 - **Minimizing Distractions:** Identifying time-wasters (like excessive meetings or social media) and eliminating them.
- **Significance:** Good time management leads to lower stress, better work-life balance, and higher quality of work.

5. Mention any two stress management techniques.

Answer: Stress management refers to the tools, strategies, or techniques that reduce stress and prevent the negative effects of stress on mental and physical well-being.

Common Techniques (Detailed):

1. Physical Exercise:

- Engaging in physical activities like walking, jogging, swimming, or yoga.
- *Mechanism:* Exercise reduces stress hormones (cortisol) and stimulates the production of endorphins (natural mood elevators). It also improves sleep, which is crucial for stress reduction.

2. Time Management (as a stress reducer):

- Using lists, prioritizing tasks, and not procrastinating.
- *Mechanism:* Poor organization is a major cause of stress. By organizing the workload and breaking big projects into small steps, the feeling of being "overwhelmed" is reduced.

3. Meditation and Relaxation Techniques:

- Practices such as deep breathing exercises, mindfulness meditation, or progressive muscle relaxation.

- *Mechanism:* These techniques trigger the body's "relaxation response," lowering heart rate and blood pressure, and calming the mind.

4. **Social Support:**

- Talking to friends, family, or colleagues about problems.
- *Mechanism:* Sharing concerns helps relieve emotional burden and can provide new

CIE 3: Management and Economics - Part B Solutions

Date: 12.1.26 **Topic:** Money, Banking, and Economic Recovery **Marks:** 10

Question 1

Context: During an economic slowdown, the central bank reduced interest rates and injected liquidity into the banking system to revive economic activity.

a) Explain the role of money and banks in economic recovery.

Answer:

In an economic slowdown, money and banks play a critical role in stimulating demand and restarting the cycle of production and consumption.

1. The Role of Money:

- **Medium of Exchange & Liquidity:** During a recession, liquidity often dries up. Injecting money ensures there is enough circulating medium for transactions to occur, preventing a halt in trade.
- **Stimulating Aggregate Demand:** Increased money supply typically lowers interest rates. Cheaper money reduces the cost of borrowing, encouraging:
 - **Consumption:** Households are more likely to buy big-ticket items (houses, cars).
 - **Investment:** Businesses are more likely to borrow for expansion and new projects.
- **Signal of Confidence:** Central bank injections signal a commitment to stability, which can boost consumer and business confidence, reducing hoarding behavior.

2. The Role of Banks:

- **Financial Intermediaries:** Banks act as the bridge between the Central Bank's policy and the real economy. When the Central Bank injects liquidity, it usually goes to commercial banks first.
- **Transmission Mechanism:** Banks must pass on the lower interest rates to borrowers. If banks are healthy and confident, they lower their lending rates, making credit accessible to businesses struggling with cash flow.
- **Credit Creation:** Banks provide the working capital necessary for firms to pay wages and buy raw materials during the recovery phase, preventing bankruptcies.
- **Risk Assessment:** Banks identify and fund viable businesses that can lead growth, ensuring resources go to productive sectors rather than failing ones.

b) Describe how commercial banks influence the money supply.

Answer:

Commercial banks influence the money supply primarily through the process of **credit creation** (or deposit expansion) under a fractional reserve banking system. They do not print currency, but they create "bank money" (deposits).

The Process:

1. **Fractional Reserve System:** Banks are required to keep only a fraction of their total deposits as reserves (Cash Reserve Ratio - CRR) with the Central Bank or in their vaults. The rest can be lent out.
2. **Primary Deposits to Loans:**
 - When a customer deposits money (e.g., \$1,000) into Bank A, the bank keeps the required reserve (say 10%, or \$100) and lends the remaining amount (\$900) to a borrower.
3. **Secondary Deposits (The Multiplier Effect):**
 - The borrower spends that \$900, and the recipient deposits it into Bank B.
 - Bank B now has a new deposit of \$900. It keeps 10% (\$90) and lends out the rest (\$810).
 - This cycle continues (Deposit → Loan → Redeposit).
4. **Result:**
 - Through this chain of lending and redepositing, the initial injection of money expands into a much larger total money supply in the economy.
 - The extent of this expansion is determined by the **Money Multiplier**, calculated as $1/\text{Reserve Ratio}$.

Conclusion: By deciding how much to lend and how much excess reserve to hold, commercial banks directly expand or contract the volume of broad money (M3) circulating in the economy.

CIE 3: Management and Economics - Part B Solutions

Date: 12.1.26 **Topic:** Unemployment and GDP **Marks:** 10

Question 2

Question: What are the different classifications of unemployment? With a neat diagram explain how it is related to GDP?

1. Classifications of Unemployment

Unemployment refers to a situation where individuals who are capable of working and actively seeking work are unable to find employment. It is generally classified into the following types:

A. Frictional Unemployment:

- **Definition:** This occurs when people are temporarily unemployed while moving from one job to another. It includes new graduates looking for their first job or workers resigning to find better opportunities.
- **Nature:** It is voluntary and short-term. It is considered a natural part of a dynamic economy.

B. Structural Unemployment:

- **Definition:** This arises due to a mismatch between the skills workers possess and the skills required by available jobs, or a mismatch in location.
- **Causes:** Technological changes (e.g., automation replacing manual labor) or changes in consumer preferences.
- **Nature:** It is often long-term and serious because workers need retraining to find new jobs.

C. Cyclical Unemployment (Demand-Deficient):

- **Definition:** This type is directly related to the economic cycle (business cycle). It occurs during recessions or economic slowdowns when aggregate demand for goods and services falls.
- **Mechanism:** When demand falls, businesses cut production and lay off workers.
- **Nature:** It fluctuates with the GDP.

D. Seasonal Unemployment:

- **Definition:** Occurs when people are unemployed at certain times of the year when demand for labor is lower than usual.
- **Examples:** Agricultural workers after harvest, or tourism workers in the off-season.

2. Relationship between Unemployment and GDP

There is an **inverse relationship** between Unemployment and Gross Domestic Product (GDP).

- **Labor as a Resource:** Labor is a key factor of production. When the unemployment rate is high, the economy is not utilizing its labor resources efficiently.
- **The Output Gap:** Unemployed workers are not producing goods and services. Therefore, the **Actual GDP** falls below the **Potential GDP** (the GDP the economy *could* produce if everyone were employed).
- **Okun's Law:** Ideally, this relationship is described by Okun's Law, which states that for every 1% increase in the unemployment rate above the natural rate, a country's GDP will be roughly 2% lower than its potential GDP.

3. Diagrammatic Explanation

Since we are discussing the relationship between economic activity (GDP) and Unemployment, the **Business Cycle Diagram** is the most appropriate visualization.

(Instructions to Draw):

1. **X-Axis:** Label as **Time**.
2. **Y-Axis:** Label as **Real GDP**.
3. **Potential GDP Line:** Draw a straight line (or slightly upward sloping curve) sloping upwards from left to right. Label this "**Potential GDP / Full Employment Trend**".
4. **Actual GDP Curve:** Draw a wavy line that fluctuates above and below the Potential GDP line. Label this "**Actual GDP**".

Explanation of the Diagram:

- **Recessionary Gap (High Unemployment):** Look at the "trough" or "valley" where the *Actual GDP* curve is **below** the *Potential GDP* line.
 - Here, production is low.
 - Firms do not need as many workers.
 - **Result:** Cyclical Unemployment is **HIGH**.
- **Inflationary Gap (Low Unemployment):** Look at the "peak" where the *Actual GDP* curve is **above** the *Potential GDP* line.
 - Here, the economy is booming.
 - Firms are hiring aggressively to meet high demand.
 - **Result:** Unemployment is **LOW** (often dipping below the natural rate).

Summary: The diagram shows that as GDP falls (Recession), the gap between potential and actual output widens, representing the lost production due to unemployment.

CIE 3: Management and Economics - Part B Solutions

Date: 12.1.26 **Topic:** Keynesian vs. Classical Macroeconomics **Marks:** 10

Question 3

Question: Explain Keynesian model of Macroeconomics and how it is different from classic model in macroeconomics.

1. The Keynesian Model of Macroeconomics

Developed by John Maynard Keynes in his 1936 book, *The General Theory of Employment, Interest and Money*, this model was a direct response to the Great Depression. It challenged the idea that free markets would automatically provide full employment.

Key Features:

- **Importance of Aggregate Demand:** Keynes argued that the level of employment and income in an economy is determined by **Aggregate Demand (AD)** (the total spending by households, businesses, and the government). If AD is low, firms will produce less and hire fewer workers.
- **Short-Run Focus:** Keynes famously stated, "*In the long run we are all dead.*" He believed economists should focus on solving immediate problems (like recessions) rather than waiting for long-term equilibrium.
- **Sticky Wages and Prices:** Unlike the Classical view, Keynes believed that wages and prices are "sticky" (especially downwards). Workers resist wage cuts even during recessions. This means labor markets do not clear instantly, leading to involuntary unemployment.
- **Underemployment Equilibrium:** The economy can settle at a stable point *below* full employment. There is no automatic mechanism to guarantee that everyone who wants a job gets one.
- **Role of Government:** Since the private sector can be unstable, the government should intervene using **Fiscal Policy** (increasing spending or cutting taxes) to boost demand and pull the economy out of recession.

2. Differences: Keynesian vs. Classical Model

The Classical model (based on Adam Smith, Ricardo, etc.) dominated before the 1930s. The two schools differ fundamentally on how the economy functions.

Feature	Classical Model	Keynesian Model
1. Basis of Economy	Supply-side: Based on <i>Say's Law</i> ("Supply creates its own demand"). Production is the driver of growth.	Demand-side: Demand creates supply. Effective demand determines the level of output and employment.

2. Role of Government

Laissez-faire: Minimal government interference. The "invisible hand" regulates the market.

Active Intervention: Government must intervene (via fiscal/monetary policy) to stabilize the business cycle.

3. Prices & Wages

Flexible: Prices and wages move up and down freely to clear markets (supply = demand).

Sticky/Rigid: Wages and prices are slow to adjust (especially downwards) due to contracts and unions.

4. Employment

Full Employment: The economy naturally gravitates toward full employment. Unemployment is voluntary.

Underemployment: The economy can get stuck in an equilibrium with high involuntary unemployment.

5. Time Horizon

Long-Run: Focuses on long-term growth and equilibrium.

Short-Run: Focuses on short-term fluctuations and immediate stabilization.

6. Savings & Investment

Both are functions of the **Interest Rate**. Interest rate flexibility equates S and I.

Savings depends on Income. **Investment** depends on Interest Rates and Business Confidence (Marginal Efficiency of Capital).

Summary

While the **Classical model** believes in the self-correcting power of free markets and flexible prices to ensure full employment in the long run, the **Keynesian model** argues that markets are imperfect and demand-driven, requiring government intervention to prevent prolonged recessions in the short run.

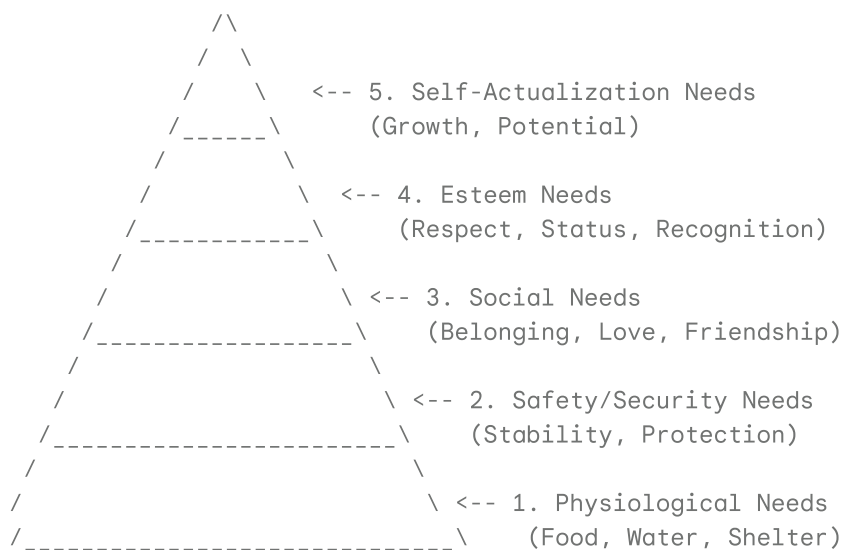
Date: 12.1.26 **Topic:** Maslow's Theory of Human Motivation **Marks:** 10

Question: Explain Abraham Maslow's theory of human motivation with hierarchy diagram.

Abraham Maslow, a psychologist, proposed his "Hierarchy of Needs" theory in 1943. It is one of the most popular theories of motivation.

- **Human needs are endless:** As soon as one need is satisfied, another arises.
- **Hierarchy:** These needs are arranged in a specific order (hierarchy) from the lowest (basic) to the highest.
- **Motivation:** A satisfied need is no longer a motivator. Only unsatisfied needs motivate behavior.
- **Progression:** An individual moves to the next higher level of the hierarchy only when the lower-level need is reasonably satisfied.

Maslow visualized these needs as a pyramid. The bottom levels must be satisfied before the top levels become a focus.



1. Physiological Needs (Basic Needs):

- These are the biological requirements for human survival. They are the most powerful and urgent needs.
- **Examples:** Food, water, air, sleep, shelter, clothing.
- **Management Application:** Providing a fair basic salary, breaks for rest/lunch, and a comfortable working environment (temperature, lighting).

2. Safety and Security Needs:

- Once physiological needs are met, the need for safety takes precedence. People want protection from physical and emotional harm, as well as economic stability.
- **Examples:** Job security, insurance, pension plans, safe working conditions, protection from arbitrary dismissal.
- **Management Application:** Safe equipment, job contracts, retirement benefits, and clear safety rules.

3. Social Needs (Belongingness/Affiliation):

- Humans are social animals. This level involves the need for emotional relationships, companionship, and acceptance by others.
- **Examples:** Friendship, love, sense of belonging to a team, acceptance by peers.
- **Management Application:** Encouraging teamwork, social gatherings, friendly supervision, and allowing informal groups to form.

4. Esteem Needs (Ego Needs):

- This level is about self-worth and respect from others. It is divided into:
 - **Internal Esteem:** Self-respect, confidence, autonomy, and achievement.
 - **External Esteem:** Status, recognition, attention, and appreciation from others.
- **Management Application:** Job titles, merit pay, awards, promotions, giving responsibility, and public recognition of good work.

5. Self-Actualization Needs:

- This is the highest level of the hierarchy. It is the drive to become what one is capable of becoming. It refers to maximizing one's potential and self-fulfillment.
- **Examples:** Personal growth, creative expression, solving complex problems, learning new skills for the sake of learning.
- **Management Application:** Providing challenging work, opportunities for creativity, autonomy, and supporting personal development goals.

4. Summary

Maslow's theory suggests that managers must understand which level of the hierarchy an employee is currently at to motivate them effectively. For example, offering a fancy job title (Esteem) won't motivate an employee who is struggling to pay rent (Physiological/Safety).

CIE 3: Management and Economics - Part B Solutions

Date: 12.1.26 **Topic:** Transactional vs. Transformational Leadership **Marks:** 10

Question 5

Question: What is transactional and transformational leadership? Explain the features of each type of leadership.

1. Transactional Leadership

Definition: Transactional leadership is a style of leadership that focuses on supervision, organization, and performance. It is based on a system of rewards and punishments. The leader views the relationship with followers as an exchange (transaction): "You do this for me, and I'll do this for you."

Features of Transactional Leadership:

1. Contingent Reward:

- The leader clarifies expectations and establishes goals.
- Rewards (bonuses, recognition, promotions) are promised and given strictly in exchange for meeting these goals.

2. Management by Exception (Active):

- The leader actively monitors the work of subordinates.
- They watch for deviations from rules and standards and take corrective action immediately to prevent mistakes.

3. Management by Exception (Passive):

- The leader intervenes only after standards have not been met or when problems become serious.

4. Short-term Focus:

- This style is effective for short-term goals and maintaining the status quo (current operations).

5. Clear Structure:

- There is a clear chain of command. Subordinates know exactly what is expected of them.

2. Transformational Leadership

Definition: Transformational leadership is a style where leaders encourage, inspire, and motivate employees to innovate and create change that will help grow and shape the future success of the company. These leaders work to change the system rather than just work within it.

Features of Transformational Leadership (The 4 I's):

1. Idealized Influence (Charisma):

- The leader serves as a role model for followers.
- They are admired, respected, and trusted. Followers identify with the leader and want to emulate them.

2. Inspirational Motivation:

- The leader has a clear, appealing vision of the future.
- They communicate high expectations and inspire followers to commit to a shared vision, often using emotional appeals.

3. Intellectual Stimulation:

- The leader encourages followers to be innovative and creative.
- They challenge assumptions, take risks, and solicit followers' ideas. They do not criticize individual mistakes publicly.

4. Individualized Consideration:

- The leader acts as a coach or mentor.
- They pay attention to each individual's needs for achievement and growth, creating a supportive climate.

3. Summary Comparison

Feature	Transactional Leadership	Transformational Leadership
Focus	Exchanges/Rewards	Vision/Change
Goal	Compliance and Efficiency	Innovation and Growth
Motivation	External (Pay, Rank)	Internal (Shared values, purpose)
Timeframe	Short-term/Immediate	Long-term
Outcome	Expected Performance	Performance beyond expectations